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Buyers of RadioShack Accused of Running \$112 Million Ponzi Scheme

(cbsnews.com).

Posted by [BeauHD](#) on Monday September 29, 2025 @08:20PM from the behind-the-scenes dept.

An anonymous reader quotes a report from CBS News: *A pair of e-commerce entrepreneurs who bought a number of well-known retail brands -- including RadioShack, Modell's Sporting Goods and Pier 1 Imports -- out of bankruptcy are accused of running a Ponzi scheme. The Securities and Exchange Commission on Monday [accused](#) Alex Mehr and Tai Lopez, founders of the Miami-based Retail Ecommerce Ventures (REV), of [defrauding investors out of approximately \\$112 million](#). Through their holding company, Mehr and Lopez acquired distressed brick-and-mortar companies in order to turn them into successful, online-only brands. Dress Barn and Linens 'n Things were also among their acquisitions. [...]*

The SEC's suit alleges that between 2020 and 2022, Mehr and Lopez, "made material misrepresentations" to hundreds of investors about the bankrupt retailers they had acquired. For example, to entice individuals to invest in their acquisitions, they said their portfolio companies were "on fire" and that "cash flow is strong." They also told prospective backers that money raised for a company would only be invested in that specific firm. That proved not to be the case, according to the SEC's lawsuit, which was filed Monday in the U.S. District Court for the Southern District of Florida.

"Contrary to these representations, while some of the REV Retailer Brands generated revenue, none generated any profits," the suit states. "Consequently, in order to pay interest, dividends and maturing note payments, Defendants resorted to using a combination of loans from outside lenders, merchant cash advances, money raised from new and existing investors, and transfers from other portfolio companies to cover obligations." The SEC alleges that at least \$5.9 million of returns paid to investors were actually Ponzi-like payments funded by other investors, as opposed to companies' profits. Additionally, the federal regulatory agency claims that Mehr and Lopez allocated \$16 million worth of investments for their own use, according to the filing.

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RadioShack (Score:3)

by [Movalgrip](#) ([Thunderaxe](#) ([8769977](#))) on Monday September 29, 2025 @08:29PM ([#65691656](#))

The "maker movement", R-Pi's, Arudinos, robotics, etc. should have been a natural thing for RS but they missed this mark, entirely.

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by [IvanCocide](#) ([102025](#))

Err, at least one of the ones near here kinda caught a clue before the end and had a shelf of Arduino stuff, but I think by then it was too little, too late. They had already spent too many years trying too hard to force an unnatural pivot to being primarily a cellphone retailer, which just didn't work out as a primary business plan because most people just by phones from their carrier, and the biggest carriers put huge roadblocks in the way of anyone wanting to sign on with a phone bought from a 3rd party.

-

- [Re: \(Score:3\)](#)

by [cusco](#) ([717999](#))

Another victim of the MBA Disease. IIRC in the latter years of Radio Shack and Bed Bath & Beyond no one in the executive suites had actually ever worked the sales floor in their lives, they had no idea what the people who actually made money for the company did. Managed to death, just like Sears, Kmart, and JC Penny.

-

- [RadioShack was an shifty cell phone store at that \(Score:2\)](#)

by [Joe_Dragon](#) ([2206452](#))

RadioShack was an shifty cell phone store at that point way to late

-

- [What were you thinking? \(Score:2\)](#)

by [cusco](#) ([717999](#))

I'm always amazed by these idiots with their Ponzi schemes, did they think they were going to be able to continue to do this forever? It's a financial perpetual motion machine, at some point it's going to stop and everyone will know what you were doing. And you're still in the country, haven't grabbed your ill-gotten gains and flown off to Vanuatu or Israel? Why? If they had been content to loot a widows and orphans fund or retirees' pensions while working for one of the big brokers they would probably

-

- [The entire world is built on such lies \(Score:2\)](#)

by [devslash0](#) ([4203435](#))

Most of the modern world/market is fueled by lies. Lies of infinite growth, copious returns and unlimited riches. It's bloody difficult to actually make money. On the other hand, it's fairly easy to install an overly charismatic individual as the front face of a company who is full of shit and empty promises.

-

- [Is that why... \(Score:2\)](#)

by [batting!y](#) ([5065477](#))

....they needed my address when I bought a battery?

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